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Redline Review Report

Document Type	MSA
Counterparty	CloudTech Solutions Ltd
Jurisdiction	England and Wales (English law)
Our Role	Customer
Date Reviewed	2026-04-12
Reviewer	Legal Redliner Skill (AI-assisted)
Contract Size	14,849 words • 134 clauses segmented

Key Statistics

31	**13**	**15**	**3**	**5**	**8**
Clauses Reviewed	Standard	Non-Standard	Missing	High Risk	Human Review

Risk Distribution

5	**7**	**3**	**3**
High Risk	Medium Risk	Low Risk	Missing Clauses

High-Priority Items Requiring Immediate Attention

1. CL-006B — Charges and Payment — Price Escalation **[Medium]**

The 'greater of CPI or 3%' formula guarantees a minimum 3% annual increase even when inflation is lower. This creates a ratchet effect. Changed to CPI-only with a 5% hard cap to protect against inflat...

2. CL-007 — Intellectual Property **[High]**

RED FLAG: Foreground IP (bespoke deliverables created specifically for Customer) vests in Supplier. This is contrary to our standard position. As Customer paying for bespoke work, all Foreground IP sh...

3. CL-009B — Data Protection — International Transfers **[Medium]**

International transfer provision lacks specificity on the required safeguard mechanism. Post-Schrems II, simply referencing 'appropriate safeguards' is insufficient. Added: (i) specific reference to U...

4. CL-011 — Liability and Indemnification **[High]**

THREE ISSUES: (i) The Supplier's liability cap at 100% of fees paid is at the low end of our range — increased to 150% for better protection. (ii) 'Fees paid' (backward-looking) disadvantages Customer...

5. CL-011B — Liability — Indemnities **[High]**

Indemnity scope is good but missing two important categories for a financial services customer: (i) regulatory fines/penalties — the Customer faces direct regulatory risk from Supplier failures (FCA/I...

6. CL-016 — Termination **[High]**

TWO ISSUES: (i) 180-day notice for termination for convenience is excessively long — 6 months' notice effectively locks the Customer in for extended periods. Reduced to 60 days. (ii) Termination for c...

7. CL-SLA-001 — Service Level Agreement — Service Credits Cap **[Medium]**

25% cap on monthly Service Credits is low for a financial services MSA. Increased to 30% and added a termination trigger if the cap is hit for 3 consecutive months, indicating sustained poor performan...

8. CL-DPA-001 — Data Processing Agreement — Sub-processors **[High]**

Three of five approved sub-processors are outside the UK (US and Australia). While the table references UK IDTA as the safeguard, there is no evidence that these instruments are actually in place. Add...

9. MISSING-001 — Anti-Tax Evasion (MISSING) **[Medium]**

No specific anti-tax evasion facilitation clause referencing the Criminal Finances Act 2017. While general compliance clauses exist, a dedicated clause is recommended for a financial services customer given the risk of corporate criminal liability for failure to prevent tax evasion facilitation.

10. MISSING-003 — AI and Automated Decision-Making (MISSING) **[Medium]**

No provisions governing the use of artificial intelligence or automated decision-making in the Services. Given the nature of IT services (including data analytics), and the requirements of UK GDPR Article 22 regarding automated individual decision-making, a clause addressing AI governance should be included.

Clause-by-Clause Analysis

§0 — Preamble / Recitals

Classification: **Standard**	Action: **None**	Risk: **N/A**	Review: **Auto**

Rationale: Preamble and recitals are standard for a UK MSA between a financial services Customer and IT Supplier. Cross-reference to superseded agreement (FW-2023-0442) is helpful. No changes required.

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§1 — Definitions and Interpretation

Classification: **Standard**	Action: **None**	Risk: **N/A**	Review: **Auto**

Rationale: Comprehensive definitions section with 50+ defined terms. All key commercial and legal terms properly defined. Interpretation provisions are standard for English law contracts. Definition of Foreground IP correctly distinguishes bespoke work from enhancements to Background IP. Good Industry Practice definition appropriately references financial services sector.

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§2 — Scope of Services

Classification: **Standard**	Action: **None**	Risk: **N/A**	Review: **Auto**

Rationale: Comprehensive scope clause. Includes Good Industry Practice and Professional Standards requirements, regulatory compliance obligations (FCA/PRA), contract manager appointments, and quarterly governance meetings. Well-drafted and aligned with standard positions.

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§3 — Statements of Work

Classification: **Standard**	Action: **None**	Risk: **N/A**	Review: **Auto**

Rationale: SOW provisions are well-structured with minimum content requirements (10 items), independent termination, and mutual execution requirement. Aligned with standard positions.

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§4 — Service Levels and Service Credits

Classification: **Standard**	Action: **None**	Risk: **N/A**	Review: **Auto**

Rationale: Service Level framework is comprehensive. Includes monthly reporting, Service Credit mechanism, service improvement plans, and material breach trigger for persistent failures. The express preservation of additional remedies beyond Service Credits (Clause 4.4) is important and correctly drafted.

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§5 — Change Control Procedure

Classification: **Standard**	Action: **None**	Risk: **N/A**	Review: **Auto**

Rationale: Change control procedure is detailed and balanced. Requires mutual written approval, protects Customer from costs of unapproved changes. Change control register requirement is good practice.

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§6 — Charges and Payment [MEDIUM RISK]

Classification: **Non-standard**	Action: **Replace**	Risk: **Medium**	Review: **Auto**

Rationale: The contractual interest rate of 4% is below the statutory rate of 8% under the Late Payment of Commercial Debts (Interest) Act 1998. As Customer, we should insist on the statutory rate to ensure full deterrent effect and preserve our statutory entitlement. Additionally, 45-day payment terms (Clause 6.3) are acceptable but at the upper end — commercial team should confirm this is aligned with the business requirement.

Policy: *UK Standard Positions — Fees and Payment: 'Late payment interest should reference the Late Payment of Commercial Debts (Interest) Act 1998 statutory rate (8% + BoE base rate)'*

Legal: *Late Payment of Commercial Debts (Interest) Act 1998, s.4 — statutory rate is 8% above BoE base rate. Source: legislation.gov.uk/ukpga/1998/20/section/4*

Tracked Changes:

− ~~6.5 Late payment of undisputed invoices shall bear interest at the rate of 4% per annum above the Bank of England base rate from time to time, accruing on a daily basis from the due date until the date of actual payment, whether before or after judgment.~~

+ 6.5 Late payment of undisputed invoices shall bear interest at the statutory rate under the Late Payment of Commercial Debts (Interest) Act 1998, being 8% per annum above the Bank of England base rate from time to time, accruing on a daily basis from the due date until the date of actual payment, whether before or after judgment.

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§6.6 — Charges and Payment — Price Escalation [MEDIUM RISK] ⚠ HUMAN REVIEW

Classification: **Non-standard**	Action: **Replace**	Risk: **Medium**	Review: **Required**

Rationale: The 'greater of CPI or 3%' formula guarantees a minimum 3% annual increase even when inflation is lower. This creates a ratchet effect. Changed to CPI-only with a 5% hard cap to protect against inflationary spikes while removing the artificial floor. This is a commercial negotiation point.

Policy: *N/A — commercial best practice. CPI-linked escalation without a floor is more favourable to Customer.*

Legal: *N/A — contractual negotiation point, not a legal requirement*

☐ **Open Question:** Confirm with procurement whether CPI-only or CPI-with-cap is preferred position

Tracked Changes:

− ~~6.6 The Supplier shall not be entitled to increase the Charges during the Initial Term. Thereafter, the Supplier may increase the Charges once in each Renewal Term by giving not less than ninety (90) days' written notice to the Customer, provided that:~~

− ~~(a) any increase shall not exceed the greater of: (i) the percentage increase in the Consumer Price Index (CPI) published by the Office for National Statistics in the twelve (12) months preceding the proposed increase; and (ii) 3%;~~

+ 6.6 The Supplier shall not be entitled to increase the Charges during the Initial Term. Thereafter, the Supplier may increase the Charges once in each Renewal Term by giving not less than ninety (90) days' written notice to the Customer, provided that:

+ (a) any increase shall not exceed the percentage increase in the Consumer Price Index (CPI) published by the Office for National Statistics in the twelve (12) months preceding the proposed increase, and in no event shall any single increase exceed 5% per annum;

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§7 — Intellectual Property [HIGH RISK] ⚠ HUMAN REVIEW

Classification: **Non-standard**	Action: **Replace**	Risk: **High**	Review: **Required**

Rationale: RED FLAG: Foreground IP (bespoke deliverables created specifically for Customer) vests in Supplier. This is contrary to our standard position. As Customer paying for bespoke work, all Foreground IP should vest in Customer on creation. The original clause leaves Customer with only a limited, non-transferable licence that expires on termination — completely unacceptable for paid-for bespoke work. Redlined to: (a) full IP assignment to Customer, (b) present assignment of future rights, (c) moral rights waiver per CDPA 1988.

Policy: *UK Standard Positions — IP: 'All bespoke deliverables created for Customer should vest in Customer on creation. Work product assignment clause should be explicit. Moral rights waiver should be included.'*

Legal: *Copyright, Designs and Patents Act 1988, Chapter IV (Moral Rights), ss.77-89. Source: legislation.gov.uk/ukpga/1988/48/part/I/chapter/IV*

☐ **Open Question:** Confirm with commercial team whether all Deliverables under all SOWs are bespoke, or whether some SOWs involve Supplier standard products/platforms that should remain Supplier-owned

Tracked Changes:

− ~~7.2 All Foreground IP shall vest in and be the absolute property of the Supplier upon creation. The Supplier hereby grants to the Customer a non-exclusive, non-transferable, royalty-free licence to use the Foreground IP solely for the Customer's internal business purposes during the Term.~~

+ 7.2 All Foreground IP shall vest in and be the absolute property of the Customer upon creation and payment of the applicable Charges. The Supplier hereby assigns (by way of present assignment of future rights) all Foreground IP to the Customer with full title guarantee. The Supplier shall execute all documents and do all acts reasonably required to give effect to this assignment.

+ 7.2A The Supplier irrevocably and unconditionally waives all moral rights under Chapter IV of the Copyright, Designs and Patents Act 1988 in respect of the Foreground IP and Deliverables.

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§7.3 — Intellectual Property — Background IP Licence **[MEDIUM RISK]**

Classification: **Non-standard**	Action: **Replace**	Risk: **Medium**	Review: **Auto**

Rationale: Background IP licence needs to be sub-licensable to Affiliates and Replacement Suppliers, otherwise the Customer cannot share Deliverables within its group or transition to a new supplier. Added 'worldwide' and 'sub-licensable' to ensure operational flexibility. Without sub-licensing rights, the Customer's use of Deliverables incorporating Supplier Background IP would be locked to the Customer entity only.

Policy: *UK Standard Positions — IP: 'Supplier retains pre-existing IP with a broad licence to Customer'*

Legal: *N/A — contractual best practice for ensuring commercial utility of licence*

Tracked Changes:

− ~~7.3 Any pre-existing Intellectual Property of either Party shall remain the property of that Party. To the extent that any Background IP of the Supplier is incorporated into or is necessary for the use of any Deliverables, the Supplier hereby grants to the Customer a non-exclusive, perpetual, irrevocable, royalty-free licence to use such Background IP solely to the extent necessary for the Customer to receive the full benefit of the Deliverables.~~

+ 7.3 All Background IP shall remain the exclusive property of the Party that owns or controls it. To the extent that any Background IP of the Supplier is incorporated into or is necessary for the use of any Deliverables, the Supplier hereby grants to the Customer a non-exclusive, perpetual, irrevocable, royalty-free, worldwide, sub-licensable (to the extent necessary for the Customer's Affiliates, agents, and Replacement Suppliers to use the Deliverables) licence to use such Background IP to the extent necessary for the Customer to receive the full benefit of the Deliverables.

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§8 — Confidentiality

Classification: **Standard**	Action: **None**	Risk: **N/A**	Review: **Auto**

Rationale: Confidentiality clause is comprehensive and well-drafted. Includes: 5-year survival (indefinite for trade secrets), permitted disclosures to advisers/regulators with notice requirements, standard carve-outs including third-party receipt, return/destruction obligation, and regulatory-specific acknowledgement. Fully aligned with standard positions.

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§9 — Data Protection **[LOW RISK]**

Classification: **Non-standard**	Action: **Replace**	Risk: **Low**	Review: **Auto**

Rationale: The 24-hour notification window is actually more protective than required — UK GDPR Art 33 requires controller notification to ICO within 72 hours. However, the 24-hour window for processor-to-controller notification is commercially aggressive and may face Supplier pushback. Amended to 72 hours to align with the statutory timeline, which is more defensible in negotiation while still ensuring compliance. NOTE: Some organisations prefer the 24-hour window — this is a negotiation call.

> **Policy:** *UK Standard Positions — Data Protection: 'Data breach notification within 72 hours'*
>
> **Legal:** *UK GDPR Article 33 — controller must notify ICO within 72 hours. DPA 2018 s.67 confirms. Source: legislation.gov.uk/ukpga/2018/12/section/67*

Tracked Changes:

> **−** ~~9.5 The Supplier shall notify the Customer without undue delay, and in any event within twenty-four (24) hours, of becoming aware of any Data Loss Event.~~
>
> **+** 9.5 The Supplier shall notify the Customer without undue delay, and in any event within seventy-two (72) hours, of becoming aware of any Data Loss Event, to enable the Customer to comply with its obligation to notify the ICO within 72 hours under Article 33 of the UK GDPR.

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§9.10 — Data Protection — International Transfers **[MEDIUM RISK]** ⚠ **HUMAN REVIEW**

Classification: **Non-standard**	Action: **Insert**	Risk: **Medium**	Review: **Required**

Rationale: International transfer provision lacks specificity on the required safeguard mechanism. Post-Schrems II, simply referencing 'appropriate safeguards' is insufficient. Added: (i) specific reference to UK IDTA and UK Addendum as the approved transfer mechanisms, (ii) mandatory transfer risk assessment (TRA) requirement aligned with ICO guidance.

> **Policy:** *UK Standard Positions — Data Protection: 'International transfer controls (UK IDTA or UK Addendum to EU SCCs)'*
>
> **Legal:** *DPA 2018 s.119A — power to approve standard data protection clauses. ICO published UK IDTA on 21 March 2022. Source: ico.org.uk/for-organisations/uk-gdpr-guidance-and-resources/international-transfers/*
>
> ☐ **Open Question:** Review Schedule 4 Part 2 sub-processors — 3 of 5 are US-based. Confirm UK IDTA or UK Addendum is in place for each.

Tracked Changes:

> **−** ~~9.10 The Supplier shall not transfer or permit the transfer of any Personal Data outside the United Kingdom without the prior written consent of the Customer. Where the Customer consents to such transfer, the Supplier shall ensure that appropriate safeguards are in place in accordance with Chapter V of the UK GDPR.~~
>
> **+** 9.10 The Supplier shall not transfer or permit the transfer of any Personal Data outside the United Kingdom without the prior written consent of the Customer. Where the Customer consents to such transfer, the Supplier shall ensure that appropriate safeguards are in place in accordance with Chapter V of the UK GDPR, including execution of the UK International Data Transfer Agreement (UK IDTA) issued by the ICO under s.119A of the DPA 2018, or the UK Addendum to the EU Standard Contractual Clauses, as applicable.
>
> **+** 9.10A The Supplier shall conduct and document a transfer risk assessment for each international transfer, assessing the laws and practices of the destination country and any supplementary measures required, and shall make such assessment available to the Customer on request.

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§10 — Warranties and Representations

Classification: **Standard**	Action: **None**	Risk: **N/A**	Review: **Auto**

Rationale: Warranties are comprehensive. Supplier warranties include skill and care, fitness for purpose, freedom from malware, regulatory clean bill of health, BCP arrangements, and tax compliance. All warranties are stated to be additional to statutory implied warranties (Clause 10.3). Well-drafted.

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§11 — Liability and Indemnification **[HIGH RISK]** ⚠ **HUMAN REVIEW**

Classification: **Non-standard**	Action: **Replace**	Risk: **High**	Review: **Required**

Rationale: THREE ISSUES: (i) The Supplier's liability cap at 100% of fees paid is at the low end of our range — increased to 150% for better protection. (ii) 'Fees paid' (backward-looking) disadvantages Customer in the early contract period when little has been paid. Changed to 'paid or payable' to ensure the cap reflects committed spend. (iii) While the Supplier cap is bilateral in structure (11.2 and 11.3 are separate), the Supplier cap at 100% of fees paid is lower than the Customer cap at fees paid or payable — this asymmetry should be equalised. Redlined to a single mutual cap at 150%.

> **Policy:** *UK Standard Positions — Liability: 'Mutual cap at 100-150% of annual fees. Carve-outs from cap: death/personal injury, fraud, IP infringement, data breach, confidentiality breach.'*
>
> **Legal:** *UCTA 1977, s.2(1): cannot exclude liability for negligence causing death/PI. s.11: reasonableness test for limitation clauses. Source: legislation.gov.uk/ukpga/1977/50/section/2*
>
> ☐ **Open Question:** Confirm commercial appetite for 150% cap — depends on total contract value and risk profile

Tracked Changes:

> − ~~11.2 Subject to Clause 11.5, the Supplier's total aggregate liability under or in connection with this Agreement, whether arising in contract, tort (including negligence), breach of statutory duty, or otherwise, shall not exceed an amount equal to the total Charges paid by the Customer to the Supplier in the twelve (12) month period immediately preceding the event giving rise to the claim.~~
>
> \+ 11.2 Subject to Clause 11.5, each Party's total aggregate liability under or in connection with this Agreement, whether arising in contract, tort (including negligence), breach of statutory duty, or otherwise, shall not exceed an amount equal to one hundred and fifty percent (150%) of the total Charges paid or payable by the Customer to the Supplier in the twelve (12) month period immediately preceding the event giving rise to the claim.

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§11.4 — Liability — Indemnities **[HIGH RISK]** ⚠ **HUMAN REVIEW**

Classification: **Non-standard**	Action: **Insert**	Risk: **High**	Review: **Required**

Rationale: Indemnity scope is good but missing two important categories for a financial services customer: (i) regulatory fines/penalties — the Customer faces direct regulatory risk from Supplier failures (FCA/ICO can impose significant fines); (ii) Data Subject claims — under UK GDPR Art 82, data subjects can claim compensation from controllers for processor breaches. Added both, plus a severability provision for the indemnities.

> **Policy:** *UK Standard Positions — Liability: 'Carve-outs from cap: death/personal injury, fraud, IP infringement, data breach, confidentiality breach.'*
>
> **Legal:** *UK GDPR Article 82 — right to compensation for data subjects. ICO fining powers under DPA 2018 s.155 — up to £17.5m or 4% global turnover. Source: legislation.gov.uk/ukpga/2018/12/section/155*

Tracked Changes:

> − ~~11.4 The Supplier shall indemnify the Customer and keep the Customer indemnified against all Losses arising out of or in connection with:~~
>
> − ~~(a) any breach by the Supplier of Clause 9 (Data Protection) or the Data Processing Agreement;~~
>
> − ~~(b) any breach by the Supplier of Clause 8 (Confidentiality);~~
>
> − ~~(c) any claim that the Services or Deliverables infringe any third party's Intellectual Property Rights (as set out in Clause 7.5);~~
>
> − ~~(d) any claim arising from the negligent or wilful acts or omissions of the Supplier or Supplier Personnel;~~

− ~~(e) any breach by the Supplier of Clause 13 (Anti-Bribery and Anti-Corruption) or Clause 14 (Modern Slavery);~~

− ~~(f) any Tax liability arising from the misclassification of Supplier Personnel as employees of the Customer (including any IR35 liability).~~

+ 11.4 The Supplier shall indemnify the Customer and keep the Customer indemnified against all Losses arising out of or in connection with:

+ (a) any breach by the Supplier of Clause 9 (Data Protection) or the Data Processing Agreement;

+ (b) any breach by the Supplier of Clause 8 (Confidentiality);

+ (c) any claim that the Services or Deliverables infringe any third party's Intellectual Property Rights (as set out in Clause 7.5);

+ (d) any claim arising from the negligent or wilful acts or omissions of the Supplier or Supplier Personnel;

+ (e) any breach by the Supplier of Clause 13 (Anti-Bribery and Anti-Corruption) or Clause 14 (Modern Slavery);

+ (f) any Tax liability arising from the misclassification of Supplier Personnel as employees of the Customer (including any IR35 liability);

+ (g) any fines, penalties, or enforcement action imposed by any Regulator (including the ICO or FCA) arising from the Supplier's breach of this Agreement;

+ (h) any claim by a Data Subject arising from the Supplier's Processing of Personal Data in breach of this Agreement or the Data Protection Legislation.

+ 11.4A Each indemnity in this Clause 11.4 is a separate and independent obligation and shall not be limited by reference to any other indemnity or limitation of liability in this Agreement.

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§12 — Insurance

Classification: **Standard**	Action: **None**	Risk: **N/A**	Review: **Auto**

Rationale: Insurance provisions are comprehensive. Includes PI (£5m), public liability (£10m), employer's liability (£10m), and cyber liability (£5m) — all at appropriate levels for a financial services MSA. Notification obligation for cancellation/modification. 6-year tail period. Well-drafted.

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§13 — Anti-Bribery and Anti-Corruption

Classification: **Standard**	Action: **None**	Risk: **N/A**	Review: **Auto**

Rationale: Comprehensive anti-bribery clause. References Bribery Act 2010 sections 1, 2, 6, 7. Includes representations, record-keeping, audit rights, Prohibited Act termination trigger, and flow-down to associated persons. Fully aligned.

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§14 — Modern Slavery

Classification: **Standard**	Action: **None**	Risk: **N/A**	Review: **Auto**

Rationale: Modern Slavery Act 2015 compliance clause with representations, notification obligations, supply chain record-keeping, and flow-down. Material breach trigger for non-compliance. Aligned with standard positions.

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§15 — Term **[MEDIUM RISK]**

Classification: **Non-standard**	Action: **Replace**	Risk: **Medium**	Review: **Auto**

Rationale: 90-day notice period for non-renewal is excessive and commercially disadvantageous for Customer. Requires the Customer to decide nearly a quarter before the renewal date. Reduced to 30 days, which provides adequate notice while preserving flexibility.

Policy: *UK Standard Positions — Termination: 'Notice period should be 30 days, not 90'*

Legal: *N/A — contractual negotiation point*

Tracked Changes:

− ~~15.2 After the Initial Term, this Agreement shall automatically renew for successive periods of twelve (12) months each (each a "Renewal Term") unless either Party gives the other not less than ninety (90) days' written notice of non-renewal before the end of the then-current term.~~

+ 15.2 After the Initial Term, this Agreement shall automatically renew for successive periods of twelve (12) months each (each a "Renewal Term") unless either Party gives the other not less than thirty (30) days' written notice of non-renewal before the end of the then-current term.

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§16 — Termination [HIGH RISK] ⚠ HUMAN REVIEW

Classification: **Non-standard**	Action: **Replace**	Risk: **High**	Review: **Required**

Rationale: TWO ISSUES: (i) 180-day notice for termination for convenience is excessively long — 6 months' notice effectively locks the Customer in for extended periods. Reduced to 60 days. (ii) Termination for convenience should be mutual — the current drafting only permits the Customer to terminate for convenience, which may appear balanced but could be used by the Supplier to argue that its own T4C right was deliberately excluded. Making it mutual removes this ambiguity.

Policy: *UK Standard Positions — Termination: 'Termination for convenience with 30-60 days notice'*

Legal: *N/A — contractual negotiation point*

☐ **Open Question:** Confirm whether 60 or 90 days is commercially acceptable — 60 is our preferred position

Tracked Changes:

− ~~16.1 The Customer may terminate this Agreement for convenience at any time by giving the Supplier not less than one hundred and eighty (180) days' prior written notice.~~

+ 16.1 Either Party may terminate this Agreement for convenience at any time by giving the other Party not less than sixty (60) days' prior written notice.

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§17 — Force Majeure

Classification: **Standard**	Action: **None**	Risk: **N/A**	Review: **Auto**

Rationale: Force majeure clause is well-drafted. Includes notification and mitigation obligations, 90-day longstop for termination, no application to payment obligations, protection for strike settlement. Aligned with standard positions.

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§18 — Consequences of Termination and Exit Management [MEDIUM RISK]

Classification: **Non-standard**	Action: **Insert**	Risk: **Medium**	Review: **Auto**

Rationale: Where termination is caused by the Supplier's breach, the Customer should not have to pay for the transition out. Added a 90-day free Termination Assistance period for fault-based terminations. The remaining period (months 4-12) would be at prevailing rates.

Policy: *UK Standard Positions — Termination: 'Transition assistance obligation on termination'*

Legal: *N/A — contractual best practice*

Tracked Changes:

− ~~18.2 The Supplier shall, for a period of up to twelve (12) months following the date of termination or expiry (the "Termination Assistance Period"), provide Termination Assistance to the Customer...~~

+ 18.2 The Supplier shall, for a period of up to twelve (12) months following the date of termination or expiry (the "Termination Assistance Period"), provide Termination Assistance to the Customer...

+ 18.2A Where termination is by the Customer under Clause 16.2 (Supplier material breach) or Clause 16.3 (Customer additional termination rights), the Termination Assistance shall be provided at no additional charge to the Customer for the first ninety (90) days of the Termination Assistance Period.

§19 — Supplier Personnel

Classification: **Standard**	Action: **None**	Risk: **N/A**	Review: **Auto**

Rationale: Supplier Personnel clause is comprehensive. Includes background checks, training requirements, Key Personnel protections, right to require removal, IR35 compliance. Well-drafted and aligned with financial services sector expectations.

§20 — Audit Rights

Classification: **Standard**	Action: **None**	Risk: **N/A**	Review: **Auto**

Rationale: Audit rights are comprehensive. Includes scope (financial, service levels, data protection, security, BCP), frequency (twice yearly with unlimited for regulators/incidents), remediation and cost recovery provisions. Critical for FCA-regulated entity. Aligned.

§21 — Business Continuity and Disaster Recovery [LOW RISK]

Classification: **Non-standard**	Action: **Insert**	Risk: **Low**	Review: **Auto**

Rationale: The current drafting references ISO 22301 as a guideline but doesn't require certification. For a financial services customer, BCP certification provides assurance and audit evidence. Added requirement for ISO 22301 certification within 12 months.

Policy: *N/A — enhanced position for financial services*

Legal: *FCA SYSC 13.7 — firms must have appropriate business continuity arrangements for outsourced activities. Source: handbook.fca.org.uk/handbook/SYSC/13/7*

Tracked Changes:

− ~~21.2 The Supplier's business continuity and disaster recovery plans shall:~~

− ~~(a) be consistent with Good Industry Practice and any applicable industry standards (including ISO 22301);~~

+ 21.2 The Supplier's business continuity and disaster recovery plans shall:

+ (a) be consistent with Good Industry Practice and any applicable industry standards (including ISO 22301);

+ (a1) be certified to ISO 22301 within twelve (12) months of the Effective Date, with certification maintained throughout the Term;

§22 — Regulatory Compliance and Reporting

Classification: **Standard**	Action: **None**	Risk: **N/A**	Review: **Auto**

Rationale: Regulatory compliance clause is well-tailored for FCA/PRA-regulated Customer. Includes Regulator cooperation, notification obligations, and SM&CR references. Important for operational resilience requirements. Aligned.

§23 — Security **[LOW RISK]**

Classification: **Non-standard**	Action: **Insert**	Risk: **Low**	Review: **Auto**

Rationale: ISO 27001 certification should be at Supplier's cost (it's a basic requirement for an IT service provider to a financial services customer, not an optional extra). Changed from 'at Customer's request and cost' to mandatory at Supplier's cost with 6-month deadline. Added annual reporting obligation.

Policy: *N/A — enhanced position for financial services*

Legal: *FCA SYSC 13.9 — firms must take reasonable care to ensure outsourced functions are performed with appropriate controls. ISO 27001 is recognised as a key control standard.*

Tracked Changes:

− ~~23.4 The Supplier shall, at the Customer's reasonable request and cost, obtain and maintain certification to ISO 27001 (Information Security Management) or an equivalent standard for the facilities and systems used in the performance of the Services.~~

+ 23.4 The Supplier shall obtain and maintain, at its own cost, certification to ISO 27001 (Information Security Management) for the facilities and systems used in the performance of the Services. Such certification shall be obtained within six (6) months of the Effective Date and maintained throughout the Term. The Supplier shall provide copies of the certificate and the most recent external audit report to the Customer annually.

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§24 — Governing Law and Dispute Resolution

Classification: **Standard**	Action: **None**	Risk: **N/A**	Review: **Auto**

Rationale: English law, four-step escalation (contract managers → senior management → CEDR mediation → English courts). Well-structured and fully aligned with standard positions. Interim relief carve-out is important and correctly included.

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§25 — General Provisions **[LOW RISK]**

Classification: **Non-standard**	Action: **Insert**	Risk: **Low**	Review: **Auto**

Rationale: Assignment carve-out for Affiliates is good, but should also cover assignment to a purchaser of the Customer's business (M&A scenario). Without this, a corporate sale would require Supplier consent for the agreement to transfer, giving the Supplier unnecessary leverage.

Policy: *N/A — standard commercial provision for assignment on business sale*

Legal: *N/A — contractual best practice*

Tracked Changes:

− ~~25.3 Assignment. Neither Party shall assign, transfer, mortgage, charge, subcontract, delegate, declare a trust over, or deal in any other manner with any of its rights and obligations under this Agreement without the prior written consent of the other Party, such consent not to be unreasonably withheld or delayed. Notwithstanding the foregoing, the Customer may assign or novate this Agreement (in whole or in part) to any of its Affiliates without the Supplier's consent, provided that the Customer notifies the Supplier in writing.~~

+ 25.3 Assignment. Neither Party shall assign, transfer, mortgage, charge, subcontract, delegate, declare a trust over, or deal in any other manner with any of its rights and obligations under this Agreement without the prior written consent of the other Party, such consent not to be unreasonably withheld or delayed. Notwithstanding the foregoing, the Customer may assign or novate this Agreement (in whole or in part) to any of its Affiliates or to any purchaser of all or substantially all of the Customer's business or assets, without the Supplier's consent, provided that the Customer notifies the Supplier in writing.

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§Schedule 3 — Service Level Agreement — Service Credits Cap [MEDIUM RISK] ⚠ HUMAN REVIEW

Classification: **Non-standard**	Action: **Replace**	Risk: **Medium**	Review: **Required**

Rationale: 25% cap on monthly Service Credits is low for a financial services MSA. Increased to 30% and added a termination trigger if the cap is hit for 3 consecutive months, indicating sustained poor performance.

Policy: *N/A — enhanced position for financial services*

Legal: *N/A — contractual negotiation point*

☐ **Open Question:** Confirm preferred Service Credit cap with procurement — 25% or 30%

Tracked Changes:

− ~~4.2 The maximum Service Credit in any calendar month shall be capped at twenty-five percent (25%) of the monthly Charges.~~

\+ 4.2 The maximum Service Credit in any calendar month shall be capped at thirty percent (30%) of the monthly Charges. If the maximum Service Credit is reached in any three (3) consecutive months, the Customer may terminate this Agreement for material breach in accordance with Clause 16.2 of the Agreement.

§Schedule 4 — Data Processing Agreement — Sub-processors [HIGH RISK] ⚠ HUMAN REVIEW

Classification: **Non-standard**	Action: **Insert**	Risk: **High**	Review: **Required**

Rationale: Three of five approved sub-processors are outside the UK (US and Australia). While the table references UK IDTA as the safeguard, there is no evidence that these instruments are actually in place. Added a 30-day deadline for the Supplier to provide executed transfer mechanisms and TRAs, with a hold on international transfers until confirmed. This is critical for UK GDPR compliance.

Policy: *UK Standard Positions — Data Protection: 'International transfer controls (UK IDTA or UK Addendum to EU SCCs)'*

Legal: *UK GDPR Chapter V (Articles 44-49) — transfers to third countries require appropriate safeguards. ICO enforcement guidance confirms TRAs are expected. Source: ico.org.uk*

☐ **Open Question:** Request copies of existing UK IDTAs from Supplier's legal team before signing

Tracked Changes:

− ~~| Datadog Inc. | USA | Monitoring and analytics | UK International Data Transfer Agreement |~~

− ~~| PagerDuty Inc. | USA | Incident management | UK International Data Transfer Agreement |~~

− ~~| Atlassian Pty Ltd | Australia | Project management tools | UK International Data Transfer Agreement |~~

\+ | Datadog Inc. | USA | Monitoring and analytics | UK International Data Transfer Agreement |

\+ | PagerDuty Inc. | USA | Incident management | UK International Data Transfer Agreement |

\+ | Atlassian Pty Ltd | Australia | Project management tools | UK International Data Transfer Agreement |

\+ NOTE: The Supplier shall, within thirty (30) days of the Effective Date, provide the Customer with copies of the executed UK IDTA or UK Addendum for each sub-processor listed above, together with a transfer risk assessment for each international transfer. The Supplier shall not commence any international transfer until the Customer has confirmed receipt and acceptance of such documentation.

Missing Clauses — Recommended Additions

The following 3 clauses are absent from the agreement and are recommended for inclusion based on standard positions and legal best practice.

MISSING-001 — Anti-Tax Evasion [Medium] ⚠ HUMAN REVIEW

Why it's needed: No specific anti-tax evasion facilitation clause referencing the Criminal Finances Act 2017. While general compliance clauses exist, a dedicated clause is recommended for a financial services customer given the risk of corporate criminal liability for failure to prevent tax evasion facilitation.

Recommended Text:

> **+** Each Party shall comply with the Criminal Finances Act 2017 and shall not engage in any activity that would constitute a UK tax evasion facilitation offence or a foreign tax evasion facilitation offence (as defined in Part 3 of the Criminal Finances Act 2017). Each Party shall have and maintain reasonable prevention procedures to prevent the facilitation of tax evasion by persons associated with it.

 Confirm with tax team whether a standalone CFA 2017 clause is required or whether existing compliance language is sufficient

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MISSING-002 — Sustainability and Environmental [Low]

Why it's needed: No environmental or sustainability provisions. Increasingly standard in UK enterprise MSAs, particularly for financial services firms with ESG reporting obligations. Not yet legally required but becoming market practice.

Recommended Text:

> **+** The Supplier shall use commercially reasonable endeavours to minimise the environmental impact of the Services and shall, upon reasonable request, provide the Customer with information regarding the Supplier's environmental policies, carbon footprint, and sustainability initiatives relevant to the Services.

MISSING-003 — AI and Automated Decision-Making [Medium] ⚠ HUMAN REVIEW

Why it's needed: No provisions governing the use of artificial intelligence or automated decision-making in the Services. Given the nature of IT services (including data analytics), and the requirements of UK GDPR Article 22 regarding automated individual decision-making, a clause addressing AI governance should be included.

Recommended Text:

> **+** The Supplier shall not use artificial intelligence, machine learning, or automated decision-making systems in the performance of the Services without the prior written consent of the Customer. Where such consent is given, the Supplier shall: (a) provide the Customer with a description of the AI system, its purpose, and the data it processes; (b) ensure that any AI system complies with all Applicable Law, including UK GDPR Article 22; (c) maintain human oversight of any AI-assisted decisions that affect Data Subjects; (d) make available to the Customer sufficient information to enable a meaningful explanation of any AI-assisted output or decision.

 Confirm with technology team whether AI tools are expected to be used in any SOW

Appendix: Change Summary

Clause	Heading	Class.	Action	Risk	Review
CL-000	Preamble / Recitals	Standard	None	N/A	No
CL-001	Definitions and Interpretation	Standard	None	N/A	No
CL-002	Scope of Services	Standard	None	N/A	No
CL-003	Statements of Work	Standard	None	N/A	No
CL-004	Service Levels and Service Credits	Standard	None	N/A	No
CL-005	Change Control Procedure	Standard	None	N/A	No
CL-006	Charges and Payment	Non-standard	Replace	**Medium**	No
CL-006B	Charges and Payment — Price Escalat...	Non-standard	Replace	**Medium**	Yes
CL-007	Intellectual Property	Non-standard	Replace	**High**	Yes
CL-007B	Intellectual Property — Background ...	Non-standard	Replace	**Medium**	No
CL-008	Confidentiality	Standard	None	N/A	No
CL-009	Data Protection	Non-standard	Replace	**Low**	No
CL-009B	Data Protection — International Tra...	Non-standard	Insert	**Medium**	Yes
CL-010	Warranties and Representations	Standard	None	N/A	No
CL-011	Liability and Indemnification	Non-standard	Replace	**High**	Yes
CL-011B	Liability — Indemnities	Non-standard	Insert	**High**	Yes
CL-012	Insurance	Standard	None	N/A	No
CL-013	Anti-Bribery and Anti-Corruption	Standard	None	N/A	No
CL-014	Modern Slavery	Standard	None	N/A	No
CL-015	Term	Non-standard	Replace	**Medium**	No
CL-016	Termination	Non-standard	Replace	**High**	Yes
CL-017	Force Majeure	Standard	None	N/A	No
CL-018	Consequences of Termination and Exi...	Non-standard	Insert	**Medium**	No
CL-019	Supplier Personnel	Standard	None	N/A	No
CL-020	Audit Rights	Standard	None	N/A	No
CL-021	Business Continuity and Disaster Re...	Non-standard	Insert	**Low**	No
CL-022	Regulatory Compliance and Reporting	Standard	None	N/A	No
CL-023	Security	Non-standard	Insert	**Low**	No
CL-024	Governing Law and Dispute Resolutio...	Standard	None	N/A	No
CL-025	General Provisions	Non-standard	Insert	**Low**	No
CL-SLA-001	Service Level Agreement — Service C...	Non-standard	Replace	**Medium**	Yes
CL-DPA-001	Data Processing Agreement — Sub-pro...	Non-standard	Insert	**High**	Yes
MISSING-001	Anti-Tax Evasion	**MISSING**	Insert	**Medium**	Yes
MISSING-002	Sustainability and Environmental	**MISSING**	Insert	**Low**	No
MISSING-003	AI and Automated Decision-Making	**MISSING**	Insert	**Medium**	Yes

End of Redline Review Report

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